MACROECONOMICS

MACRO-20

Time: 5 minutes

Outcome: Classify bank accounts and trace how transactions change reserves and capital.

Difficulty: ●●○ Intermediate

Bank Balance Sheets, Reserves, and Capital

THE CORE IDEA

A bank balance sheet satisfies assets = liabilities + capital. Reserves, loans, and securities are assets. Deposits and bank borrowing are liabilities. Bank capital is owners' equity: assets minus liabilities. Reserves provide liquidity and help meet withdrawals; capital absorbs asset losses. Required reserves and capital requirements therefore constrain different parts of the balance sheet.

HOW TO RECOGNIZE IT

- A customer's deposit is a bank liability; the cash or reserve balance received is an asset.
- A cash withdrawal reduces both reserves and deposits by the same amount.
- A loan is a bank asset because the borrower owes the bank repayment.
- An asset loss reduces capital when liabilities do not change.

WATCH OUT

Do not call reserves bank capital. Reserves are assets available for payments; capital is the residual claim, assets minus liabilities, that cushions losses.

WORKED EXAMPLE: CAPITAL ABSORBS AN ASSET LOSS

KEY RELATIONSHIPS

- assets and liabilities
- reserves
- bank capital
- deposits and withdrawals
- asset losses

A bank holds $120 in reserves, $780 in loans, and $100 in securities: assets are $1,000. Deposits of $900 and borrowing of $40 make liabilities $940, so capital is $60. A $25 loan loss cuts assets to $975 while liabilities stay $940. Capital falls to $35; reserves remain $120.

CHECK YOURSELF

If a depositor withdraws $20 in cash, which asset and which liability fall?

READY? Return to the game and master this concept.